Profit & Loss

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↳ Profit & Loss can be considered in any business.

↳ Total 6 entities we need to discuss mainly in P&L. The relations b/w them according to the problems are only formulae under Profit & Loss.

↳ 6 Entities to know:- C.P (Cost price) / Investment, SP (Selling Price), Profit, Loss, Market Price (M.R.P / List Price), & discount.

(i) Cost Price:- The price @ which an article is to be purchase-d is called Cost Price (or) The amount invested in the business is called Investment.

(ii) Selling Price:- The price @ which an article is sold is called Selling Price.

(iii) Profit:- Gain on (or) Increased value to Cost price by selling is called as Profit.

(iv) Loss:- Depreciation on (or) decreased value to cost price by selling is called as loss.

(v) Market Price:- The price @ which an article is sold as maximum @ as possible (or) The price printed on article to sell is called Market Price.

(vi) Discount:- Depreciated value on Market Price to sell more & more is called discount

Note:- Mostly discount is in %'s.

(33)

↳ Profit = S.P − C.P

⇒ S.P = Profit + C.P

⇒ C.P = SP − Profit

Profit % = $\frac{SP-CP}{CP} \times 100$

Loss = C.P − S.P

⇒ S.P = C.P − Loss

⇒ C.P = S.P + Loss

⇒ Loss % = $\frac{CP-SP}{CP} \times 100$

↳ S.P = Market Price − Discount

⇒ Discount = M.R.P − SP

⇒ Market Price [MRP] = S.P + Discount

★ ↳ Logic to be used in Profit & Loss other than above formulae.

(i) When S.P > C.P then person is said to be in Profit.

SP > CP

$\Rightarrow \boxed{\frac{SP}{CP} > 1}$ ∴ When fraction of $\frac{SP}{CP} > 1 \Rightarrow$ Profit.

Ex:- $\frac{SP}{CP} = 1.4$ [1.4 − 1 = 0.4 of CP is profit]

Profit in % = 0.4 × 100 = 40%

$\frac{SP}{CP} = 4$ [4 − 1 = 3 ⇒ 3 × 100 = 300% profit]

(ii) When SP < CP then Business man is in Loss.

SP < CP

$\Rightarrow \boxed{\frac{SP}{CP} < 1} \Rightarrow$ Loss.

Ex:- $\frac{SP}{CP} = 0.8$ [1 − 0.8 = 0.2 of CP is Loss]

Loss in % = 0.2 × 100 = 20%

$\frac{SP}{CP} = 0.65$ [1 − 0.65 = 0.35 ⇒ 0.35 × 100 = 35% Loss]